Puzha Foods

Minimally processed Kerala produce for modern trade and direct to consumer

Seed round, July 2026

Thrissur, Kerala

The problem

- Kerala grows jackfruit, tender coconut and banana in quantities it cannot consume.
- A large share of the jackfruit crop is never harvested because there is no buyer.
- Meanwhile a Bengaluru household buys imported packaged snacks made from the same crops.
- The produce and the demand exist. The processing between them does not.

What we do

- We buy directly from 620 contracted farmers in Thrissur and Palakkad.
- We process at our own plant: cold pressing, freezing, drying and packing.
- We sell through 410 modern trade doors and direct to consumer through our own app.
- Rs 78 lakh a month in July 2026, at 38 percent gross margin.

Why both channels

- Modern trade gives volume and gives the brand shelf credibility.
- Direct to consumer gives margin, repeat data and pricing freedom.
- 62 percent modern trade and 38 percent direct today.
- The direct channel is what tells us which SKU to put in the next store, not the other way round.

Traction

- Revenue up from Rs 34 lakh in February to Rs 78 lakh in July 2026.
- 410 retail doors across Kerala, Bengaluru and Chennai.
- 47 percent of direct customers reorder inside 60 days.
- Gross margin up from 31 percent to 38 percent over the same six months.

What we fixed

- Gross margin was 31 percent in February and it was killing us.
- Three changes: we moved jackfruit from bought pulp to own processing, dropped two SKUs that never covered their freight, and renegotiated cold storage.
- Seven points of margin in six months, with no price increase to the consumer.
- That is the single number a food investor should look at, so we lead with it.

Unit economics

- Contribution positive on all six SKUs, from Rs 9.20 to Rs 52.60 a unit.
- Banana flour and frozen jackfruit carry the mix and are the direct channel favourites.
- Tender coconut water is the traffic driver and the thinnest line, deliberately.
- Plant is at 64 percent of a single shift, so volume growth is nearly free.

The honest problem

- Modern trade pays in 45 to 60 days. Farmers are paid in 7.
- Every rupee of growth in that channel consumes working capital before it returns any.
- This is the reason for the round, and it is the first line in the use of funds.
- We would rather show you the cash conversion cycle than the revenue chart.

Use of funds

- Rs 5.5 crore, expected to last 15 months.
- Rs 2.2 crore: working capital for the modern trade receivable.
- Rs 1.4 crore: a second processing line, taking capacity to two shifts.
- Rs 1.2 crore: brand and performance marketing on the direct channel.
- Rs 0.7 crore: reserve.

The team

- Anjali Warrier, CEO. Ran the south India business for a spices brand. IIM Kozhikode.
- Deepak Nair, Operations. Food processing engineer, set up two fruit pulping lines.
- Farhan Ali, Sourcing. Twelve years buying coconut, jackfruit and banana in Thrissur.
- 41 full time, of whom 26 are at the plant.